Cobalt Ridge Packaging Holdings, Inc.
Statements of Income

(Dollars in thousands, except share and per share data)

		Years Ended January 31,	
	Note	**2023**	**2024**
Net sales	3	$ 324,023	$ 374,344
Cost of goods sold	3	(132,717)	(164,853)
Gross profit		191,306	209,491
Operating expenses:			
Research and development		(23,624)	(27,878)
Selling, general and administrative expenses		(133,931)	(154,856)
Total operating expenses		(157,555)	(182,734)
Income from operations		33,751	26,757
Interest expense		(2,876)	(2,539)
Income before provision for income taxes		30,875	24,218
Provision for income taxes	11	(7,603)	(5,964)
Net income		$ **23,272**	$ **18,254**
Basic earnings per share	13	$ 1.14	$ 0.90
Diluted earnings per share		$ 1.12	$ 0.89
Basic weighted average shares		20,367,300	20,325,109
Diluted weighted average shares		20,836,636	20,608,483

Cobalt Ridge Packaging Holdings, Inc.
Balance Sheets

(Dollars in thousands)

	Notes	January 31, 2023	January 31, 2024
Assets			
Current assets:			
Cash and cash equivalents		$ 33,348	$ 43,257
Marketable securities	4	36,458	31,778
Accounts receivable, net	4	44,660	49,766
Inventory	5	25,605	31,303
Other current assets		3,848	4,507
Total current assets		143,919	160,611
Noncurrent assets:			
Property, plant and equipment, net	6	96,381	95,798
Deposits and other assets		11,845	13,142
Total non-current assets		108,226	108,940
Total assets		$ **252,145**	$ **269,551**
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities:			
Accounts payable		$ 15,144	$ 18,626
Accrued liabilities	9	22,458	24,492
Short-term debt	8	4,833	2,818
Total current liabilities		42,435	45,936
Long-term debt, net of current portion	8	49,611	46,793
Other liabilities	9	3,646	3,646
Total liabilities		95,692	96,375
Commitments and contingencies			
Shareholders' equity:			
Common stock, $0.001 par value	12	20	20
Additional paid-in capital		77,687	80,843
Retained earnings		78,746	92,313
Total shareholders' equity		156,453	173,176
Total liabilities and equity		$ **252,145**	$ **269,551**

Cobalt Ridge Packaging Holdings, Inc.
Statements of Cash Flows

(Dollars in thousands)

	Years Ended January 31,	
	2023	**2024**
OPERATING ACTIVITIES		
Net income	$ 23,272	$ 18,254
Depreciation and amortization	10,818	13,491
Stock-based compensation	6,351	3,156
Changes in operating assets and liabilities:		
Accounts receivable	(7,437)	(5,106)
Inventories	(5,961)	(5,698)
Prepaid expenses and other current assets	283	(659)
Accounts payable	2,759	3,482
Accrued liabilities	6,270	2,034
Net cash provided by operating activities	36,355	28,954
INVESTING ACTIVITIES		
Purchases of property and equipment	(12,427)	(12,908)
Purchases of investments, net	(5,496)	4,680
Other	—	(1,297)
Net cash used in investing activities	(17,923)	(9,525)
FINANCING ACTIVITIES		
Repayments of long-term debt	(7,230)	(4,833)
Dividends paid	(5,976)	(4,687)
Net cash used in financing activities	(13,206)	(9,520)
Net increase in cash and cash equivalents	5,226	9,909
Cash and cash equivalents at beginning of year	28,122	33,348
Cash and cash equivalents at end of year	$ **33,348**	$ **43,257**
Supplemental disclosures of cash flow information:		
Cash paid for interest	$ 2,724	$ 2,340
Cash paid for income taxes	6,441	5,994